

DIVERGENT DEVELOPMENT PATHS

FT. INDIA AND JAPAN

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COUNTRIES VARIABLES

INDIA

India represents a fast-growing emerging economy characterised by a young population, rising public investment, and structural transformation. Macroeconomic management in India increasingly emphasises inflation targeting, infrastructure-led growth, and gradual fiscal consolidation.

Inflation(Consumer Prices, %) : Measures the annual change in the general price level faced by households and reflects demand pressures, supply shocks, and monetary policy effectiveness.

Government Expenditure : Shows the share of total economic output spent by the government on goods and services, indicating the size of the public sector and fiscal stance

GDP Growth Rate (Annual %) : Captures the yearly expansion or contraction of economic activity and is a key indicator of short-run macroeconomic performance.

GDP per Capita (Current US\$) : Represents average income per person and serves as a proxy for living standards and long term development levels.

Interest Rate (Lending rate, %) : It is the average rate charged by banks on loans to borrowers in an economy. It reflects monetary policy conditions and influences borrowing, investment, and overall economic activity.

JAPAN

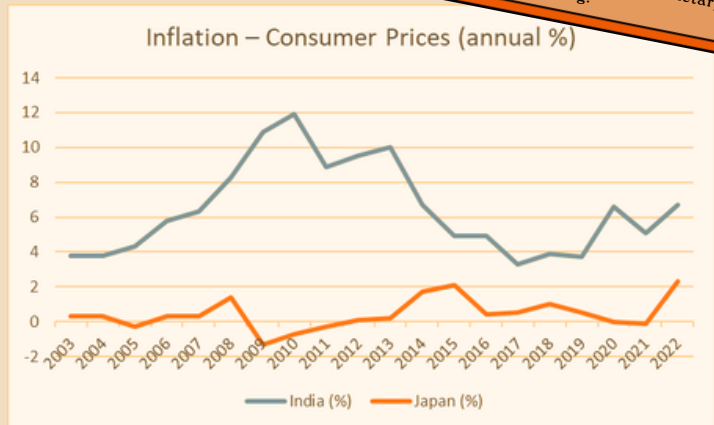
Japan is a mature advanced economy marked by an aging population, persistent fiscal deficits, and long-standing efforts to stimulate demand through expansionary fiscal and monetary policies. Its experience provides valuable insights into stabilization policies in low-growth environments.

TWO ECONOMIES, TWO TRAJECTORIES

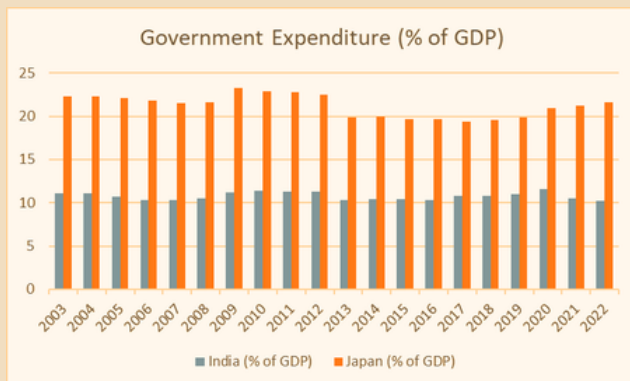


Inflation

- INDIA SHOWED HIGHER AND MORE VOLATILE INFLATION THAN JAPAN.
- JAPAN FACED PROLONGED LOW INFLATION AND EPISODES OF DEFLATION.
- CRISIS YEARS WIDENED THE CONTRAST BETWEEN THE TWO ECONOMIES.
- REFLECTS DIFFERENT DEMAND STRUCTURES AND MONETARY CONSTRAINTS.



Theory: Phillips Curve & Liquidity Trap
 Link:
 Higher inflation in India aligns with the Phillips Curve trade-off between growth and inflation in expanding economies. Japan's persistently low inflation reflects a liquidity trap where weak demand keeps prices stagnant despite monetary easing.

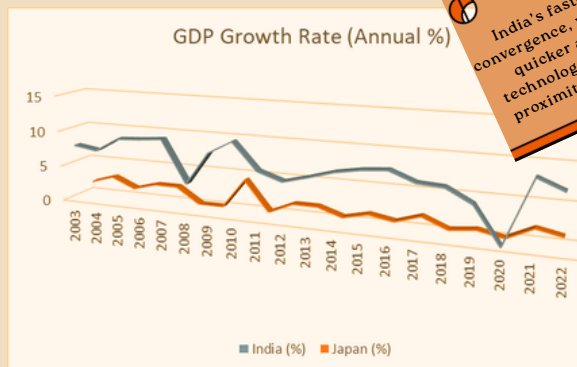


Government Expenditure (% of GDP)

- JAPAN CONSISTENTLY SPENT A LARGER SHARE OF GDP THAN INDIA.
- INDIA MAINTAINED A COMPARATIVELY LEAN FISCAL FOOTPRINT.
- BOTH RAISED SPENDING DURING GLOBAL DOWNTURNS.
- SHOWS CONTRASTING FISCAL CAPACITIES AND DEMOGRAPHICS.

GDP Growth (%)

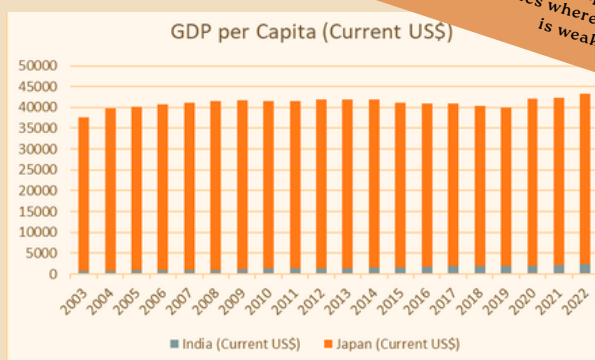
- INDIA GREW FASTER THAN JAPAN ACROSS MOST YEARS.
- JAPAN RECORDED LOW AND CYCLICAL GROWTH.
- BOTH CONTRACTED SHARPLY IN 2020.
- HIGHLIGHTS DIFFERENT DEVELOPMENT STAGES.



Theory: Solow Growth Model
 Link:
 India's faster growth reflects conditional convergence, where developing economies grow quicker as they accumulate capital and technology. Japan's slower growth indicates proximity to steady-state equilibrium in the Solow model.

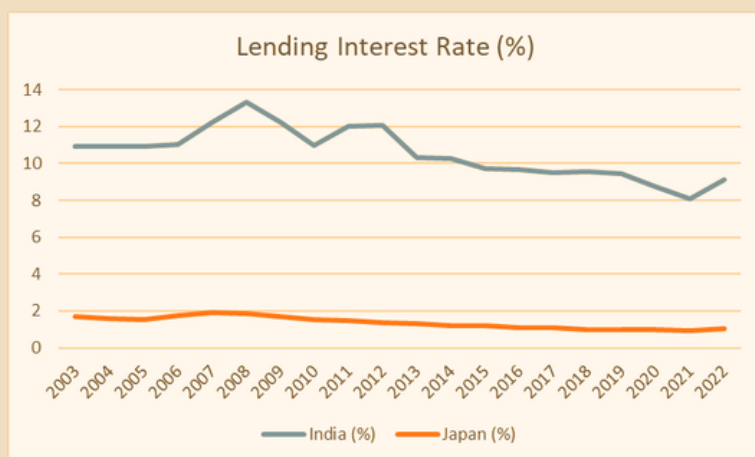
GDP per Capita (US\$)

- JAPAN MAINTAINED VERY HIGH INCOME LEVELS THROUGHOUT.
- INDIA'S INCOME ROSE STEADILY OVER TIME.
- LARGE INCOME GAP PERSISTED DESPITE CONVERGENCE.
- REFLECTS LONG-RUN GROWTH DIFFERENCES.



Theory: IS-LM Model & Monetary Transmission
Link:
Higher interest rates in India reflect tighter monetary policy to control inflation, reducing investment in the IS-LM framework. Japan's near-zero rates illustrate expansionary policy in stagnating economies where monetary transmission is weak.

Interest Rate (%)



- INDIA MAINTAINED HIGHER LENDING RATES THAN JAPAN.
- JAPAN EXPERIENCED NEAR-ZERO INTEREST RATES.
- REFLECTS DIFFERING INFLATION AND MONETARY CONDITIONS.
- SHOWS CONTRASTING CREDIT ENVIRONMENTS.



Conclusion

This study compared India and Japan from 2003-2022 using inflation, government expenditure, interest rates, GDP growth, and GDP per capita. The results show that India's higher growth, inflation, and interest rates reflect its developing-economy dynamics, while Japan's high income, low interest rates, and large public spending indicate a mature economy with stable but slow growth. Overall, the analysis highlights that macroeconomic outcomes and policy priorities differ across stages of development, emphasizing the need for context-specific economic strategies.

References (APA 7th Edition)

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